

THE EQUITY EXPRESSION OF THE COPPER THESIS

The Shortage The Data Denies

BHP reported its full-year results on 18 August 2026. Underlying attributable profit rose 30% to 13.2 billion dollars, the copper division's earnings before interest, tax, depreciation and amortisation jumped from 12.3 to 18.2 billion, and the dividend reached its highest in four years. Copper production fell 3%. Guidance for the year ahead is lower again, at 1.65 to 1.8 million tonnes against 1.95 million, because the ore at Escondida is getting poorer.

That is the copper trade in a single set of accounts: record money from falling tonnage. The awkward part is that the body which counts the market for a living expects a surplus this year and a larger one next.

Internal material is drawn from the Heyokha Wiki *Copper* theme page (created 23 June 2026, last reviewed 24 June 2026) and the source summaries feeding it, and is attributed to the named research provider throughout. Internal views are opinions held by those providers, not forecasts and not verified fact. External figures come from company results releases, exchange and price data, and the International Copper Study Group, and are dated at first use. Where the two disagree, the disagreement is stated and left standing.

Consider a town that has quarried the same hillside for a century. The best rock went first — the thick, clean seam lying near the surface. Each decade the crews cut deeper and crush more rock to recover the same weight of usable stone, until a seam that once gave a tonne of stone from a hundred tonnes of rock gives six-tenths of a tonne. Costs climb, output slips, and the price of stone rises enough that the quarry's owners have never been richer, despite shipping less than they did ten years ago. Meanwhile a scrapyard at the other end of town has started buying demolished buildings and reselling the kerbstones and lintels pulled out of them. The borough surveyor, adding up all the stone available to builders this year, records a small surplus and reports that there is no shortage. Every one of these statements is true at once. The quarry is in decline, and the town has enough stone — for now, and only because a hundred years of earlier construction is being pulled down to supply it.

A reframe worth holding onto

The internal Wiki's copper thesis is not a price forecast. It is a claim about physics and time: ore grades have fallen from roughly 1% to 0.6%, there is no substitute at scale, and the gap between discovering a deposit and shipping metal is ten to fifteen years.

If that is right, the market balance in any single year is close to irrelevant — a surplus is a rounding error inside a structural deficit. If it is wrong, it is wrong because the balance is being closed by something the thesis barely counts.

THE STORY IN 60 SECONDS

1.95Mt

BHP copper production in the year to June 2026, down 3%, while copper division EBITDA rose from 12.3 to 18.2 billion dollars. Guidance for FY2027 is 1.65 to 1.8 million tonnes on lower Escondida grades. *BHP full-year results, reported 18 August 2026.*

+96kt

The International Copper Study Group's forecast refined copper *surplus* for 2026, revised from a 150,000-tonne deficit — a 246,000-tonne swing — with a 377,000-tonne surplus forecast for 2027. *ICSG forecast, 23 April 2026.*

\$6.60

Copper per pound on 17 August 2026, up 47.9% over twelve months, against a record high of 6.83 dollars set earlier in the month. COMEX futures set all-time highs on 5–6 August. *Trading Economics and market reports, 17 August 2026.*

WHAT ACTUALLY HAPPENED

Record earnings from a shrinking tonnage

The producers' half-year and quarterly accounts, all published in the past four weeks, say something more precise than the price does. Southern Copper reported second-quarter net sales of 4.29 billion dollars, up 40.6%, and net income of 1.67 billion, up 71.6%. Its copper production fell 3.5% on the quarter and 3.8% for the half. Freeport-McMoRan reported adjusted net income of 1.1 billion dollars on revenue of 7.03 billion, at a realised copper price of 6.17 dollars a pound. Ivanhoe's Kamoakakula complex produced 64,328 tonnes in the second quarter against 71,401 tonnes a year earlier, after a 56-day smelter shutdown. BHP produced 3% less copper and earned nearly half as much again from it.

Only Teck grew. Its copper production rose 25% to 135,900 tonnes as the Quebrada Blanca expansion delivered a third consecutive solid quarter at 55,800 tonnes, and adjusted EBITDA more than tripled to 2.19 billion Canadian dollars. That is a project sanctioned years ago arriving on schedule — which is precisely the internal thesis's point about lead times, seen from the other end.

The margins involved are difficult to overstate. Southern Copper's operating cash cost per pound, net of by-product credits, was five cents in the second quarter and *minus* three cents across the first half, meaning its silver, zinc and molybdenum covered the entire cost of producing its copper. Teck's net cash unit cost fell to 1.64 dollars a pound from 2.02. Freeport's was 1.97 dollars. Against a spot price of 6.60 dollars, these are the economics of a bottleneck, not of a competitive industry.

And yet the metal is not obviously absent. More than a million tonnes of copper has moved into United States warehouses and private storage since early 2025, drawn by the prospect of import tariffs. London Metal Exchange stocks have fallen to their lowest since mid-February while COMEX inventories have swollen. Some part of what the market has been pricing as scarcity is the same metal standing in a different building.

THE ESSENTIAL DISTINCTION

A deficit in the annual balance and a decline in the resource are different claims on different clocks. *The first can be closed by scrap, thrifting or a recession within a year; the second cannot be closed by anything except a decade of capital spending that has not begun.*

THE MECHANISM

How one tonne becomes harder to produce

1 · The grade falls

Average ore grades have declined from roughly 1% to about 0.6% copper. The same tonne of metal requires far more rock mined, hauled, crushed and processed — and more energy, water and acid per unit.



2 · The concentrate tightens

Less concentrate reaches a smelting industry with too much capacity. Treatment charges turned negative; by January 2026 some 14.3% of global smelting capacity stood inactive.



3 · Price does the rationing

With volume inelastic, adjustment falls entirely on price. Copper rose 47.9% in twelve months, and producer cash costs near or below zero net of by-products convert that directly into cash.



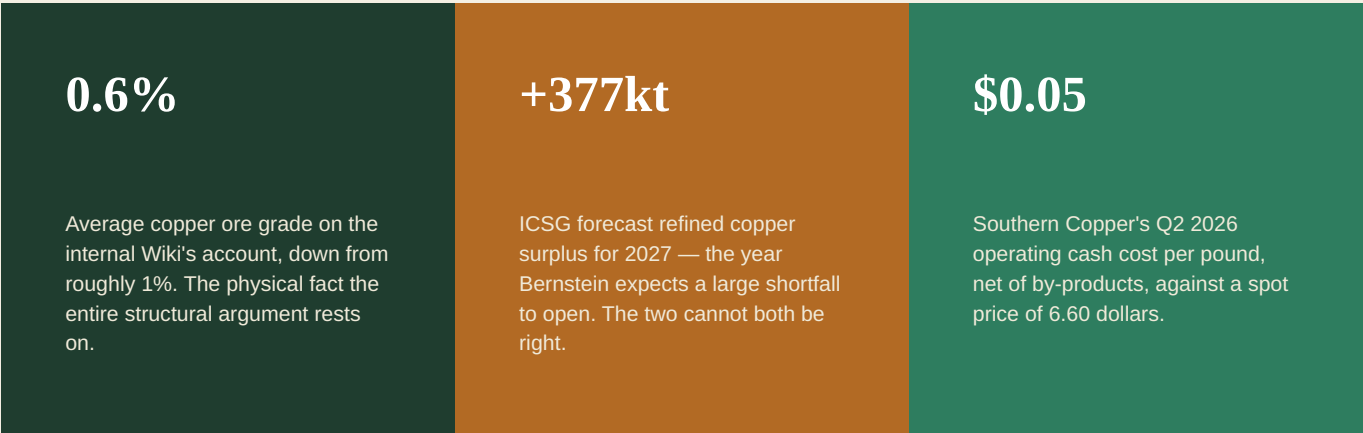
4 · Supply cannot answer

Ten to fifteen years separate discovery from production. BHP's response to the highest copper price on record is to guide production down again in 2027.

Steps 1 and 4 draw on the internal Wiki *Copper* page, sourced to 13D Research (grade decline, lead times); step 2 on the same page's February 2026 update citing Earth-i SAVANT smelting-capacity data; steps 3 and 4 on external company results and price data cited elsewhere in this edition. The sequencing is an interpretive framework, not a measured process.

The internal view holds that this sequence has changed copper's character. The Wiki page argues, on 13D's reading, that the shift to renewables, electric vehicles, data centres and grid rebuilding "has altered and muted the inherent cyclicity

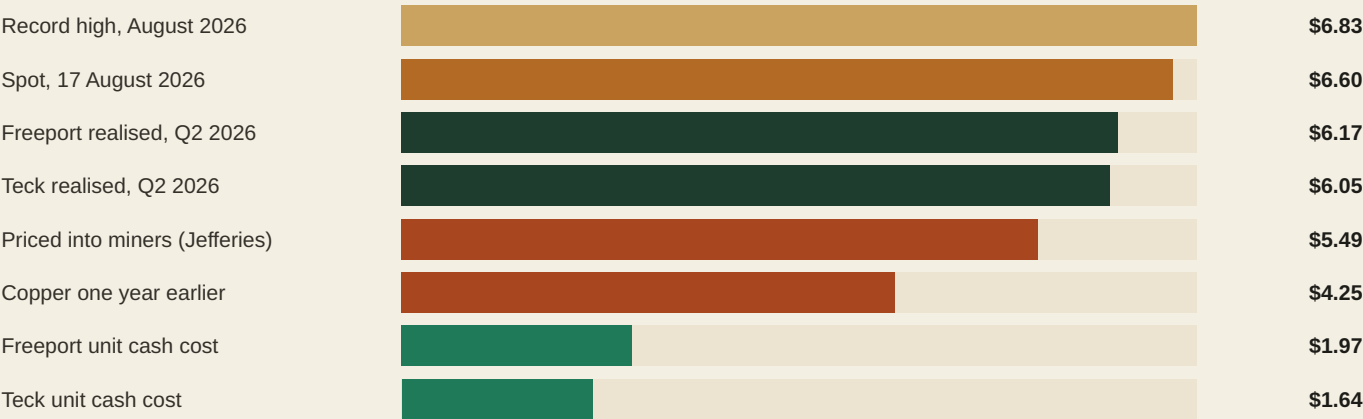
of the metal" — that copper is becoming counter-cyclical because its demand is now driven by capital programmes with political backing rather than by the construction cycle. It cites Sprott's Jacob White noting electrical infrastructure rising from 24% of copper demand in 2020 to 30% in 2025. That is a view, and it is the load-bearing one: almost everything else in the thesis depends on demand not behaving the way "Dr Copper" historically has.



Sources: internal Wiki *Copper* page, sourced to 13D Research (ore grades); International Copper Study Group forecast, 23 April 2026 (2027 surplus); Bernstein via the Financial Times, cited in the CLSA compilation of 14 August 2026 (2027 shortfall); Southern Copper second-quarter results, reported 21 July 2026 (cash cost).

THE CENTRAL COMPARISON

What the price says against what it costs



All figures in US dollars per pound. Bars are illustrative, scaled to the highest value shown, and not a common index. Sources: Trading Economics price data as at 17 August 2026 (spot, record high, year-earlier); Freeport-McMoRan and Teck Resources second-quarter results, both reported 23 July 2026 (realised prices, unit net cash costs); Jefferies estimate of the copper price implied by major miners' share prices, as reported in market commentary, 2026. Realised prices reflect contract timing and provisional pricing and will not match spot.

The Jefferies figure is the one worth sitting with. On that estimate the large copper miners' shares discount a long-run price of 5.49 dollars a pound while the metal changes hands at 6.60. The equity market is not extrapolating the spot price; it is applying a substantial haircut to it. That is either the market being sensibly sceptical of a price it thinks is inflated by tariff arbitrage and speculative positioning, or it is the mispricing the structural thesis exists to exploit. The same number supports both readings.

A USEFUL MENTAL MODEL

Copper's bull case is a claim about the second derivative of supply, not the first. *It does not require that less metal is produced next year — only that producing each additional tonne keeps getting harder faster than demand relents.*

Five changes, each cutting both ways

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
The largest producers are shrinking	BHP copper output down 3% in FY2026 with FY2027 guided to 1.65–1.8Mt against 1.95Mt; Southern Copper down 3.8% for the half; Kamoakamoa down about 10% year-on-year in Q2.	This is the grade-decline thesis appearing in audited accounts rather than in forecasts. It is also exactly what a price spike looks like near its top, when high prices coincide with operational problems that later resolve.
The official balance flipped to surplus	The ICSG moved its 2026 forecast from a 150,000-tonne deficit to a 96,000-tonne surplus in April 2026, and forecasts a 377,000-tonne surplus for 2027, citing slower demand growth and increased secondary production.	A body with no thesis to defend contradicts the deficit narrative head-on. But a 96,000-tonne surplus on roughly 27 million tonnes of usage is a quarter of one percent — inside the error of any such estimate, and a sign of how finely balanced the market is.
Inventory has relocated rather than depleted	Over a million tonnes has moved into US warehouses and private storage since early 2025 ahead of possible tariffs; LME stocks are at their lowest since mid-February while COMEX inventories have swollen.	Regional tightness is real for anyone buying outside America and has genuinely supported the price. It also means the visible-stock signal that bulls cite is partly an artefact of trade policy, and could reverse without a single tonne being mined.
Smelting became the binding constraint	China's smelter group agreed to cut utilisation by more than 10% for 2026, potentially removing about 1Mt of concentrate demand; 14.3% of global smelting capacity was inactive in January 2026 and treatment charges turned negative.	Refined metal availability tightens, supporting price. But a concentrate glut relative to smelting is the opposite of a mine-supply shortage, and it hurts miners' realisations even as it lifts the refined price.
Artificial intelligence entered the demand case	S&P Global figures cited internally put hyperscale data centre requirements at up to 50,000 tonnes of copper each, with roughly two miles of copper cabling in an AI chip rack.	A genuinely new demand vector absent from forecasts three years ago. It also ties the copper thesis to the capital expenditure cycle of a handful of technology companies — a concentration risk the electrification story was supposed to avoid.

Where the argument is strong, and where it is weak

The case for the structural thesis

- **The supply decay is now in the accounts, not the forecasts.** BHP, Southern Copper and Ivanhoe all produced less copper in their most recent periods, and BHP explicitly guides 2027 lower on Escondida grades. This is the internal thesis being confirmed by the companies rather than by its proponents.
- **Price is doing all the adjusting, which is what inelastic supply looks like.** Copper rose 47.9% in twelve months to 6.60 dollars a pound on 17 August 2026, with COMEX futures setting all-time highs on 5–6 August and LME three-month copper trading above 14,000 dollars a tonne.
- **The lead-time argument is arithmetic, not opinion.** On the internal Wiki's account, ten to fifteen years separate discovery from production, so no capital-spending response begun today can deliver metal before the mid-2030s. Teck's Quebrada Blanca, delivering 55,800 tonnes in the quarter, was sanctioned years ago.
- **Demand has acquired a new and large vector.** S&P Global's Aurian De La Noue is quoted internally saying AI and data centres "really weren't even on the radar three years ago" and that the world was tracking toward deficit even before them, with up to 50,000 tonnes of copper per hyperscale facility.
- **The smelting bottleneck is deliberate and structural.** China's smelter group cutting utilisation by over 10%, against 14.3% of global capacity already inactive and negative treatment charges, is read internally as China weaponising its refining dominance — a constraint no mine approval can relieve.
- **The margin structure is extraordinary and self-funding.** Southern Copper's by-products covered its entire copper cash cost in the first half of 2026, and BHP raised its dividend to a four-year high while calling its growth self-funded. Producers can finance development without recourse to markets.

The case against, and what would break it

- **The authoritative balance says surplus, not deficit.** The ICSG forecasts a 96,000-tonne surplus for 2026 and 377,000 tonnes for 2027, having cut expected demand growth to 1.6% from 2.1%. Bernstein's shortfall "from 2027" and the ICSG's 2027 surplus are direct opposites.
- **Scrap is the variable the thesis under-counts.** The ICSG attributes its revision partly to "increased secondary production." The internal record's headline framing — 30 million tonnes consumed against 4 million recycled — treats recycling as a rounding error at precisely the moment the counting body cites it as a reason for surplus.
- **Specialist analysts call the rally positioning, not fundamentals.** StoneX's Natalie Scott-Gray has written that speculative positioning is "overdone and unrelated to the realities in the market" and that "fundamentals certainly do not support copper at the current levels."
- **The equity market is discounting a materially lower price.** On Jefferies' estimate the major miners' shares imply roughly 5.49 dollars a pound against spot of 6.60 — a market already assuming the current price does not hold.
- **Supply is responding where it can.** CMOC has planned an 11% output increase for 2026, global output growth was expected at about 2.3% against 1.2% in 2025, and Teck's 25% production increase shows sanctioned projects arriving. Chinese refined demand fell 8% year-on-year in the fourth quarter of 2025.
- **Part of the tightness is a tariff artefact.** Over a million tonnes drawn into US storage since early 2025 has depressed LME stocks without reducing global metal. A resolution of trade policy could release that inventory and unwind the visible-stock signal.

The bear case above was assembled almost entirely from external sources and from tensions inside the producers' own results, because the internal Wiki's bear case is thin. Its three counter-arguments — a global recession destroying demand, substitution and thrifting, and a surprise wave of mine development — run to a few sentences each, contain no figures and cite no dates, and each is followed by a rebuttal. The Wiki's own "Contradictions" section reads, in full: "None yet — only 13D sources in the compilation window."

WHERE THE VIEWS DIVERGE

An unresolved conflict

The sharpest conflict is about a single year. Bernstein, quoted in the 14 August 2026 CLSA compilation that sits behind the internal page's most recent update, expects a large copper supply shortfall to open from 2027 and calls copper "the next global strategic commodity." The International Copper Study Group, forecasting on 23 April 2026, expects a 377,000-tonne surplus in that same year, having already reversed its 2026 view from a 150,000-tonne deficit to a 96,000-tonne surplus. This edition cannot adjudicate between them, and does not try. It is worth noting what the disagreement is actually about: the ICSG's revision rests on slower demand growth and higher secondary production, so the question is not whether mine supply is decaying — both sides broadly agree it is — but whether scrap and softer demand close the

gap faster than the mines lose ground. The internal page has almost nothing to say about scrap, which is the pivot of the counter-argument.

A second divergence concerns the character of the demand. The internal view, following 13D, holds that electrification has "altered and muted the inherent cyclicity" of copper. External evidence is less settled: Chinese refined copper demand fell 8% year-on-year in the fourth quarter of 2025, which is conventional cyclical behaviour. The internal record carries a contradiction of its own here — the 14 August CLSA compilation includes Murray Stahl's objection that the energy required to produce a solar panel's silicon substrate exceeds what the panel generates in fifteen years, which the Wiki flags as implicitly contradicting the energy-transition case that part of the copper demand argument rests on. It is left unresolved there, and here.

LIMITATION ON THE INTERNAL VIEW

One provider, and one interested witness

The internal *Copper* page lists 36 source issues in its frontmatter. Every one of them is 13D Research. There is no White Box, no Greed & Fear, no Solid Ground, no Gary Shilling and no Marc Faber in the compilation window, and the page's Contradictions section says so explicitly rather than concealing it. The consequence is that what reads as an accumulated body of evidence is closer to one house's argument, restated across four years and reinforced by its own prior instalments. The recent additions come from a CLSA compilation which carries its own disclaimer that it is sales and training commentary rather than analyst research, and whose views belong to the commentators quoted.

The most-quoted of those commentators is Robert Friedland, whose framing — that the world must mine as much copper in the next eighteen years as in the previous ten thousand — supplies the page's newest and most arresting claim. Friedland is the founder and co-chairman of Ivanhoe Mines, a copper producer, and so is not a disinterested witness to copper scarcity. That does not make the arithmetic wrong, and this edition has not been able to verify it independently. It does mean the claim should be weighed as advocacy from a producer rather than as neutral analysis. It is also worth recording that Ivanhoe's own Kamo-a-Kakula complex produced 64,328 tonnes in the second quarter of 2026 against 71,401 tonnes a year earlier, after a 56-day smelter shutdown, while maintaining full-year guidance of 290,000 to 330,000 tonnes.

WHAT TO WATCH FROM HERE

The next few months of evidence

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
BHP FY2027 delivery against 1.65–1.8Mt	Whether the largest producer's grade-driven decline is as steep as guided, or whether it proves conservative.	This is the structural thesis's cleanest single test, in the accounts of the company with most to gain from higher prices and least need to talk them up.
The next ICSG balance revision	The group has already swung 246,000 tonnes in six months. A move back toward deficit would signal the April revision was noise.	The surplus forecast is the single strongest external contradiction of the internal view. Its stability, or otherwise, is the argument.
Secondary and scrap supply data	The ICSG named increased secondary production as a reason for its revision. Whether scrap flows keep rising with the price is the pivot.	High prices pull scrap out of the system. If that response is large, the deficit closes without a single new mine; if it is small, it does not.
US tariff resolution and warehouse flows	Whether the million-plus tonnes drawn into US storage since early 2025 begins to return, and whether LME stocks rebuild.	Separates genuine global scarcity from a trade-policy artefact. A reversal would remove part of the price support without changing any fundamental.

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
Chinese refined demand and smelter utilisation	Whether the 8% year-on-year fall in Chinese refined demand in Q4 2025 was an aberration, and whether the smelter group's cuts hold.	Tests the internal claim that copper has become counter-cyclical. A demand recovery confirms it; a further fall alongside a high price refutes it.
Kamoa-Kakula's second-half recovery	Ivanhoe plans a 30% increase in mining rates and a 10,000-tonne inventory destocking to hold 290,000–330,000 tonnes for the year.	A large, modern, high-grade mine failing to deliver is evidence for supply fragility; delivering on the recovery plan is evidence against it.

THREE POSTURES, NOT ONE ANSWER

Coherent ways to hold this, and what each costs

Own the reserves

Hold the large, long-life producers and treat the annual balance as noise, on the argument that decades of ore in the ground is the asset and the price will find it. **The cost:** these shares already discount roughly 5.49 dollars a pound on Jefferies' estimate, so a large part of the re-rating has happened; and a surplus year with softening Chinese demand can produce a deep drawdown without the thesis being wrong.

Own the growth, not the price

Concentrate on producers whose volumes are actually rising — Teck's Quebrada Blanca, Ivanhoe's recovery plan — so that returns come from tonnes delivered rather than from the metal re-rating. **The cost:** execution risk becomes the dominant variable, as Kamoa-Kakula's 56-day smelter shutdown demonstrated, and a single operational failure can cost more than a favourable price move earns.

Wait for the balance to turn

Accept the structural argument but decline to pay a record price for it, holding the position until the ICSG balance moves back toward deficit or inventories normalise. **The cost:** if the internal thesis is right, the entry point may never improve, and the cost of being early is small relative to the cost of being absent through a structural re-rating.

The companies named below are illustrative of the mechanisms discussed in this edition. They are NOT recommendations, and no view is expressed on the merits of any security. Figures are as at the dates stated.

BHP

BHP Group Limited

profit +30%
FY26, 18 Aug 2026

The clearest single illustration of the edition's argument. Underlying attributable profit rose 30% to 13.2 billion dollars and underlying EBITDA 27% to 32.9 billion on revenue up 15% to 58.8 billion. The copper division earned 18.2 billion of EBITDA against 12.3 billion, on revenue of 29 billion — from 1.95 million tonnes of copper, 3% less than the prior year. The full-year dividend of 172 cents, totalling 8.7 billion dollars, was the highest in four years. Guidance for FY2027 is 1.65 to 1.8 million tonnes on lower Escondida grades.

WATCH NEXT

Whether FY2027 volumes land at the low or high end of guidance, and what grade assumptions underpin the Escondida decline.

SCCO

Southern Copper Corporation

cash cost \$0.05/lb
Q2 2026, 21 Jul 2026

The extreme case of bottleneck economics. Second-quarter net sales rose 40.6% to 4.29 billion dollars and net income 71.6% to 1.67 billion, giving earnings of 2.01 dollars a share against 1.17, on a 66.6% adjusted EBITDA margin. Operating cash cost per pound net of by-product credits was five cents in the quarter and minus three cents across the half year — the by-products paid for the copper. Production nonetheless fell 3.5% on the quarter and 3.8% year to date.

WATCH NEXT

Tía María's progress toward first production in the second half of 2027, and whether by-product credits keep cash costs near zero.

TECK

Teck Resources Limited

copper +25%
Q2 2026, 23 Jul 2026

The exception that proves the lead-time point. Copper production rose 25% to 135,900 tonnes, of which Quebrada Blanca contributed 55,800 in a third consecutive solid quarter. Adjusted EBITDA more than tripled to 2.193 billion Canadian dollars from 722 million, and adjusted profit reached 948 million, or 1.93 dollars a share, against 187 million. Net cash unit costs fell to 1.64 dollars a pound from 2.02, at a realised price of 6.05 dollars. Full-year copper guidance of 455,000 to 530,000 tonnes was maintained. The project delivering this growth was sanctioned years ago.

WATCH NEXT

Whether Quebrada Blanca sustains its run-rate through a fourth quarter, and where full-year output lands within guidance.

FCX

Freeport-McMoRan Inc.

realised \$6.17/lb
Q2 2026, 23 Jul 2026

The largest listed pure-play, and the cleanest read on realised pricing. Second-quarter net income attributable was 984 million dollars, or 68 cents a share, with adjusted net income of 1.1 billion on revenue of 7.03 billion. Copper production reached 786 million pounds against sales of 710 million, at an average realised price of 6.17 dollars and unit net cash costs of 1.97 dollars. Full-year guidance is roughly 3.1 billion pounds of copper and about 8.3 billion dollars of operating cash flow, at a unit cash cost near 1.90 dollars.

WATCH NEXT

The Grasberg ramp against the 3.1-billion-pound sales target, and whether unit costs hold near the 1.90-dollar guide.

IVN

Ivanhoe Mines Ltd.

64,328t
Q2 2026, 8 Jul 2026

Included because its founder and co-chairman supplies the internal record's most quoted scarcity claim, which makes its operating performance directly relevant. Kamo-a-Kakula produced 64,328 tonnes of copper in anode or blister in the second quarter, against 71,401 tonnes from the Phase 1 and 2 concentrators a year earlier, after a 56-day smelter shutdown that ended on 1 July 2026. Full-year guidance of 290,000 to 330,000 tonnes was maintained, requiring a 30% increase in mining rates to 8.5 million tonnes annualised and a 10,000-tonne destocking.

WATCH NEXT

Third-quarter output against the recovery plan — the most demanding near-term test of whether new supply can be relied upon.

EGO

Eldorado Gold Corporation

internal view only
Wiki, 30 Apr 2026

Included to mark the boundary between internal and external evidence. The internal Wiki, following 13D, describes Eldorado as its "most compelling and least-appreciated copper growth story," ramping two greenfield copper projects during 2026 — Skouries in Greece and McIlvenna Bay in Canada — with reserves stated at more than 2.6 billion pounds of copper and twenty-year initial mine lives, and notes both are sulphide operations using flotation rather than acid leaching. That is an internal view held by one research provider. None of these figures has been verified against company filings in this edition and no external corroboration is offered.

WATCH NEXT

Company disclosure on Skouries and McIlvenna Bay commissioning, against which the internal claims can be checked directly.

The bottom line

What has been repriced is not copper's scarcity but its cash generation. Across four sets of accounts published in the past month, the largest producers converted a 47.9% rise in the metal into record profits, dividends at four-year highs and cash costs at or below zero net of by-products — while three of the four produced less copper than they did a year earlier. BHP's results, published on the morning this edition was written, state the case most plainly: 30% more profit, 3% less metal, and guidance for less again. That is what an industry looks like when volume has stopped being the variable it can control.

The evidence is genuinely mixed, and it divides along a clean line. On the supply side the structural thesis is being confirmed in audited accounts rather than in forecasts — grades are falling, the largest producers are guiding down, and the ten-to-fifteen-year lead time means nothing decided today changes the next decade. On the balance side it is contradicted outright: the ICSG expects surpluses in both 2026 and 2027, specialist analysts call the rally speculative, the equity market discounts 5.49 dollars a pound rather than 6.60, and over a million tonnes of the apparent tightness is metal that moved to America ahead of a tariff. The reasonable inference is that both are true on different clocks — that the resource is decaying and the market is adequately supplied, and that scrap, not mining, is what currently reconciles them. That makes recycled supply the variable this thesis is least equipped to see, and the internal page is nearly silent on it. The next test is narrow: whether the ICSG's next revision moves back toward deficit, and whether Kamoa-Kakula delivers its second-half recovery.

Editorial note. This document is educational commentary prepared for internal use at Heyokha Brothers. It is not investment advice, not a recommendation, and not an offer or solicitation to buy or sell any security. Companies named are illustrative of the mechanisms discussed and were selected for that purpose only; no view is expressed on the merits of any security, and the firm may hold positions in, or no position in, any name mentioned. All external figures are attributed and dated as at first use; prices, forecasts and balances move continuously and were current only at the stated time. Internal Heyokha Wiki views are the opinions of the named third-party research providers — in this edition, principally 13D Research, together with commentators quoted in a CLSA compilation — are labelled as views rather than forecasts, and are never presented as verified fact. Where internal and external sources conflict, the conflict is stated and left unresolved rather than adjudicated. Figures that could not be verified against a primary or reliable secondary source were dropped rather than estimated.

Sources and update notes

(a) Internal sources. The Heyokha Wiki theme page **Copper** (slug *copper*; type: theme; status: active; created 23 June 2026; **last reviewed 24 June 2026**; 7,392 words; tickers BHP, TECK, FCX, SCCO), sections *Thesis*, *What would change it*, *The bear case & what breaks it* and its three sub-sections, *Contradictions*, *Companies*, *February 2026: CSPT smelting cut*, *April 2026: all-time weekly closing high*, *GYX breakout*, and *sulfuric acid crisis*, *August 2026*, and *August 2026: Friedland's 18-years-equals-10,000-years math*, and *the Bernstein deficit*. The frontmatter lists **36 source issues**, **all of them 13D Research**, running from 18 August 2022 to 15 January 2026. Provider issues relied on directly: **13D WILTW, 19 February 2026** (CSPT utilisation cut of more than 10% for 2026, potentially removing about 1Mt of concentrate demand; Glencore's Pasar and Tsumeb into care and maintenance; Mount Isa's AUD 600m bailout; negative treatment and refining charges; 14.3% of global smelting capacity inactive per Earth-i SAVANT at January 2026). **13D WILTW, 30 April 2026** (sulfuric acid crisis; SX-EW at about 20% of global supply; Goldman Sachs estimate of up to 125,000 tonnes at risk; the "altered and muted the inherent cyclicity" framing; Sprott's Jacob White on electrical infrastructure rising from 24% to 30% of copper demand between 2020 and 2025; the Eldorado Gold growth-story claim). **13D WILTW, 19 April 2026** and **13D WATMTU, 5 April 2026** (all-time weekly closing high; S&P Global's peak-primary-supply-in-2030 and 10Mt gap by 2040; GYX breakout). **13D WATMTU, 9 August 2026** (13D Copper Index +17.9% for the week). **CLSA Bits & Pieces, 14 August 2026**, author Damian Kestel (Friedland's 30Mt-against-4Mt and eighteen-years arithmetic; Bernstein's shortfall from 2027 and "next global strategic commodity"; S&P Global's Aurian De La Noue on AI and data centres; up to 50,000 tonnes per hyperscale data centre; about two miles of copper cabling per AI chip rack; Jensen Huang on conductivity; Murray Stahl's thermodynamic objection to solar). Selection inputs: *list_sources* over the 21 days to 18 August 2026 (18 issues) and *list_pages* for active themes (72 pages).

(b) Limitation on the internal view. The *Copper* page is sourced entirely from a single research provider. All 36 issues in its frontmatter are 13D Research, and the page's *Contradictions* section states this itself, reading in full: "None yet — only 13D sources in the compilation window." The only non-13D material is the 14 August 2026 CLSA compilation, which carries an explicit disclaimer that it is sales and training commentary rather than analyst research and that the views belong to the commentators quoted. The most prominent of those, Robert Friedland, is founder and co-chairman of a copper producer and is therefore an interested party to the scarcity claim he supplies. The page's bear case runs to three short paragraphs containing no figures and no dates, each followed by a rebuttal; the bear case in this edition was consequently built from external reporting and from tensions inside the producers' own results, as stated in the text.

The page was last reviewed on 24 June 2026, so the April surplus revision by the ICSG and all of the second-quarter and full-year results discussed here postdate its last review and are not reflected in it.

(c) External sources. (1) *BHP full-year results, year ended 30 June 2026*, reported 18 August 2026: underlying attributable profit 13.2bn dollars against 10.2bn, +30%; underlying EBITDA +27% to 32.9bn; revenue +15% to 58.8bn; copper division EBITDA 18.2bn against 12.3bn on revenue of 29bn; copper production 1.95Mt, -3%; final dividend 99 cents, full-year 172 cents totalling 8.7bn dollars; FY2027 copper guidance 1.65–1.8Mt on lower Escondida grades. (2) *Southern Copper Q2 2026*, reported 21 July 2026: net sales 4,289.0m dollars (+40.6%); net income attributable 1,670.0m (+71.6%); EPS 2.01 dollars against 1.17; adjusted EBITDA 2,856.0m at 66.6% margin; copper production 230,662t (-3.5% QoQ) and 461,206t year to date (-3.8%); operating cash cost per pound net of by-products 0.05 dollars in the quarter and -0.03 dollars for the half; dividend 1.10 dollars; 1.25bn dollars of 5.35% bonds due 2036 for Tia María, first production expected H2 2027. (3) *Freeport-McMoRan Q2 2026*, reported 23 July 2026: net income attributable 984m dollars (0.68 a share); adjusted 1.1bn (0.74); operating income 2,003m; revenue 7,029m; copper production 786m lbs, sales 710m lbs; realised copper 6.17 dollars/lb; unit net cash costs 1.97 dollars; gold 192koz at 4,520 dollars; 2026 guidance about 3.1bn lbs copper sales, about 1.90 dollars unit cash costs, about 8.3bn dollars operating cash flow. (4) *Teck Resources Q2 2026* (unaudited), reported 23 July 2026: adjusted EBITDA C\$2.193bn against C\$722m (+204%); adjusted profit C\$948m (1.93 a share) against C\$187m (0.38); profit before tax C\$1.459bn against C\$125m; copper production 135,900t (+25%), Quebrada Blanca 55,800t; realised copper 6.05 US dollars/lb; net cash unit costs 1.64 US dollars against 2.02; full-year copper guidance maintained at 455,000–530,000t. (5) *Ivanhoe Mines Q2 2026 production release*, 8 July 2026: Kamoā-Kakula 64,328t copper in anode or blister against 71,401t from Phase 1 and 2 concentrators a year earlier; 61,134t copper in concentrate against 61,906t in Q1 2026; 56-day smelter shutdown, operations resumed 1 July 2026; 2026 guidance maintained at 290,000–330,000t; recovery plan of +30% mining rates to 8.5Mtpa annualised and a 10,000t destocking. (6) *International Copper Study Group forecast*, 23 April 2026: 2026 refined surplus of 96,000t, revised from the 150,000t deficit forecast of 8 October 2025 — a 246,000t swing; 2027 surplus 377,000t; 2026 refined usage growth cut to 1.6% from 2.1%; refined production +0.4% in 2026 and +3% in 2027; mine output growth cut to 1.6% from 2.3% for 2026, and 2.3% for 2027; reasons given as slower demand growth and increased secondary production; risks flagged from Middle East conflict and trade flows. (7) Price data at 17 August 2026 (Trading Economics): copper 6.60 US dollars/lb, -0.06% on the day, +4.71% on the month, +47.9% over twelve months, against a record 6.83 dollars set in August 2026. (8) Market reporting, August 2026 (Canadian Mining Report and others): COMEX all-time highs on 5–6 August 2026 in a 6.70–6.82 dollar range; LME three-month above 14,000 dollars/t, testing 14,300–14,370; LME stocks lowest since mid-February with COMEX inventories swollen; more than 1Mt drawn into US warehouses and private storage since early 2025; DRC restrictions on concentrate exports; Chilean weather interruptions and seismic concerns at El Teniente. (9) Bearish commentary, 2026: StoneX's Natalie Scott-Gray — speculative positioning "overdone and unrelated to the realities in the market" and "fundamentals certainly do not support copper at the current levels"; Jefferies' estimate that major miners discount 5.49 dollars/lb; Panmure Liberum's Tom Price on speculation versus fundamentals; Chinese refined copper demand -8% year-on-year in Q4 2025; CMOC planning +11% output for 2026; global output growth expected at 2.3% in 2026 against 1.2% in 2025. Items (7) to (9) are from reliable secondary reporting rather than primary releases.

(d) Editorial choices in this automated run. Topic selection followed the prescribed procedure with one documented deviation. Entity scoring across the 18 source issues published in the 21 days to 18 August 2026 produced, among active themes: gold 25, copper 9, iran-war 7, silver 6, then a cluster at 5. No source was published within three days, so nothing earned the three-point recency bonus and the ranking rests on the seven- and twenty-one-day windows plus title mentions. **Gold ranked first and was passed over.** The archive folder *HB Wiki Learning* could not be read — the remote-devices bridge is never available to scheduled runs — so the thirty-day cooldown set could not be built from filenames. Per the standing instruction the two known prior editions, AI Capex on 4 August 2026 and Gold Miners on 5 August 2026, were treated as recent. Running Gold thirteen days after Gold Miners would be an effective repeat of the same subject for the reader, even though the two are distinct Wiki pages, so Gold was treated as on cooldown and the next-ranked eligible theme taken. Copper is in any case the hot signal on a strict reading of the rule: it is named in the title of the newest source in the wiki, the CLSA compilation of 14 August 2026 ("the copper math"). **What could not be verified:** whether Copper, or any theme beyond AI Capex and Gold Miners, has appeared in the past thirty days. This file must be saved into the *HB Wiki Learning* folder manually for tomorrow's cooldown check to detect it. **Tool failures:** the Heyokha Wiki MCP server and the Notion connector were unavailable for the first part of this run and came online partway through, so an initial draft on a different subject was discarded and the run restarted from the prescribed selection procedure. Several external pages consulted during that discarded work returned HTTP 403 errors; every source used in this edition was retrieved successfully. The Friedland arithmetic was not independently verified and is presented as an attributed claim rather than as fact.